

Hindustan Aeronautics Ltd

HAL · Industrials

ROE

N/A*

ROCE

N/A*

Net Profit Margin

25.0%

Debt-to-Equity

0.62

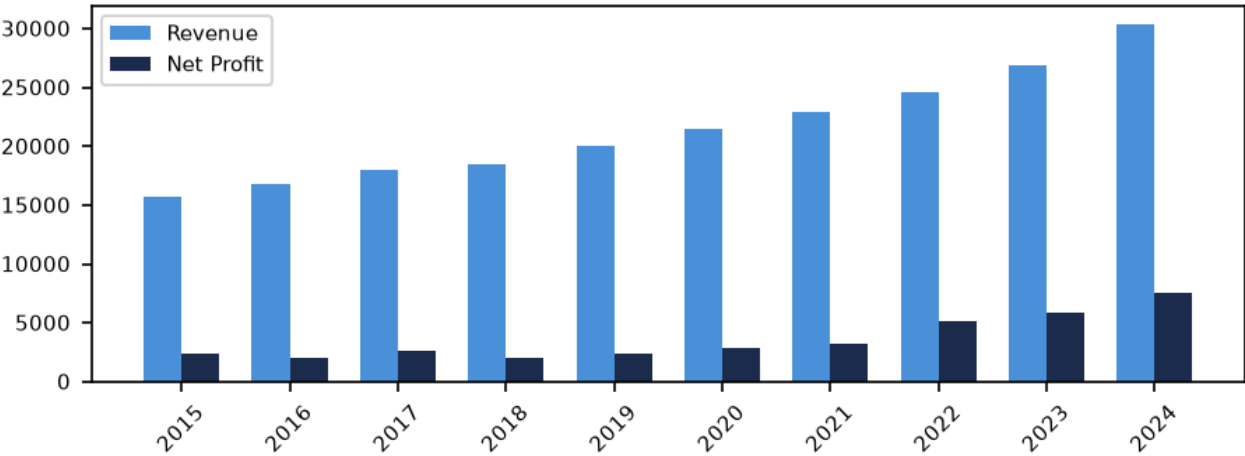
Revenue CAGR (5yr)

8.7%

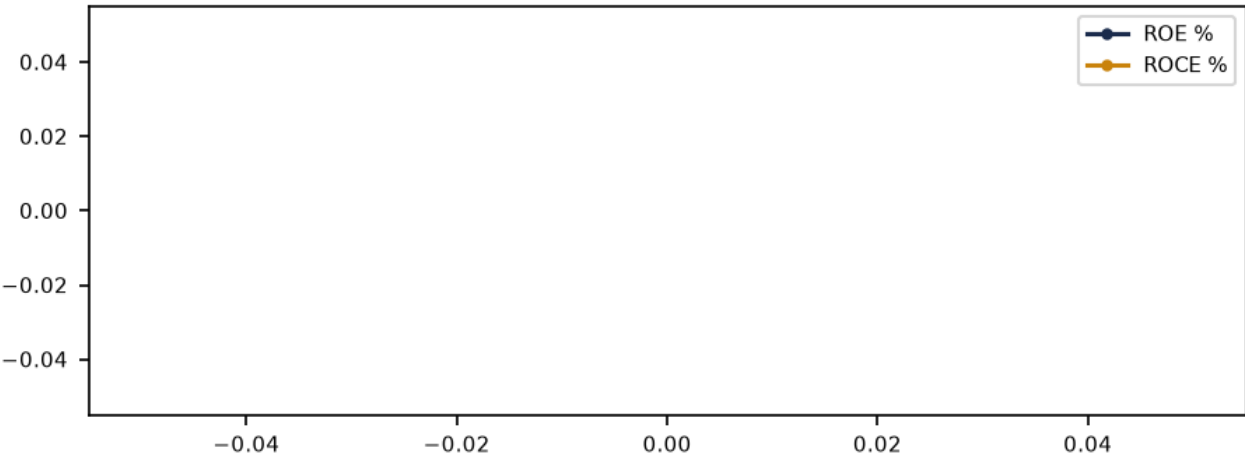
Free Cash Flow

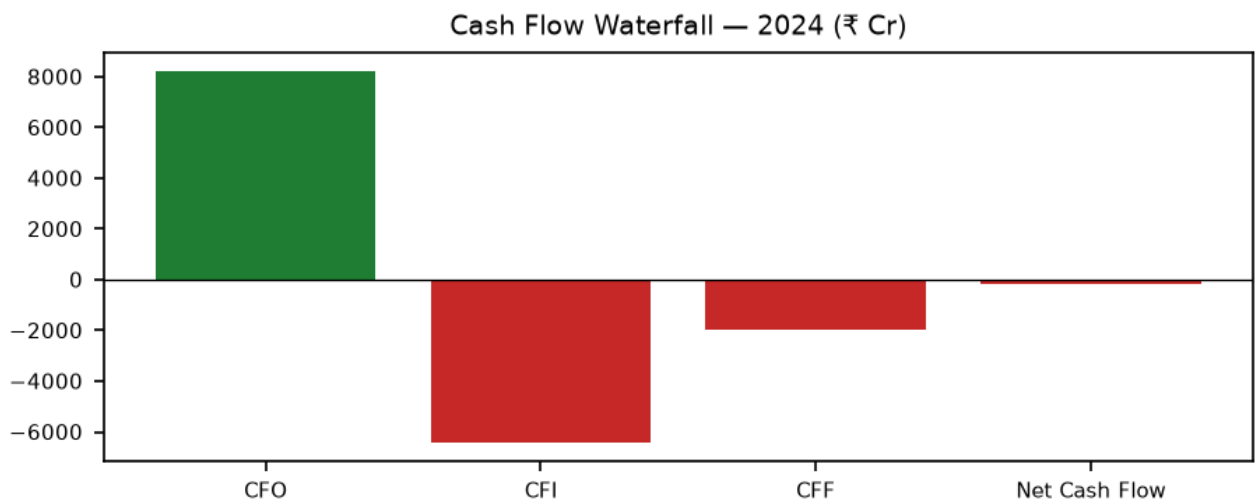
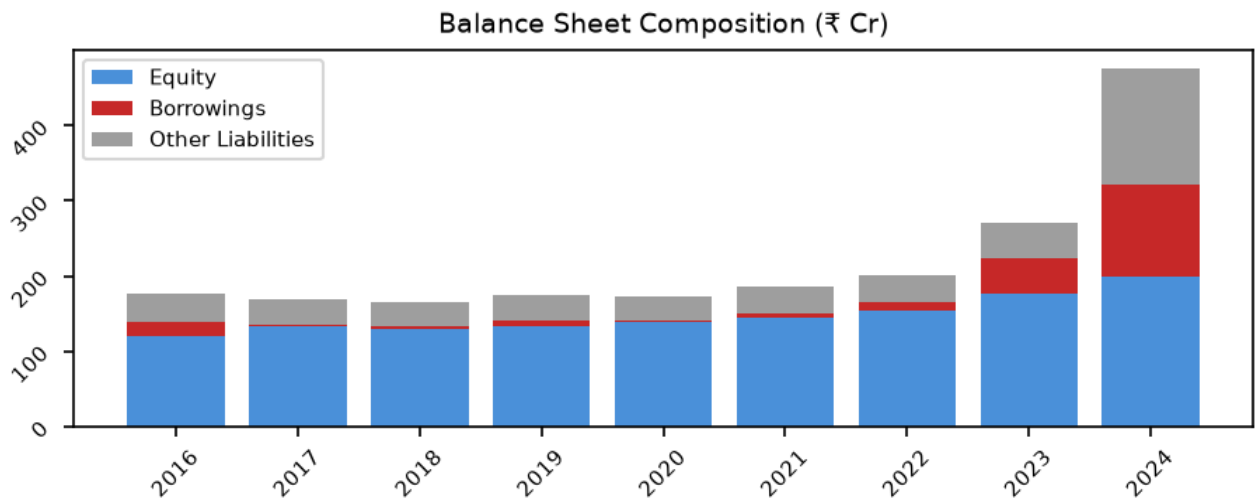
■1,814 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Reinvestor